

Computing Salary, Wage, and Commission

Introduction: Understanding How People Earn

Every day, millions of workers go to work to earn a living. A factory worker operates machinery for an hourly wage. A teacher prepares lessons for a fixed monthly salary. A sales agent closes deals and earns commissions. A freelance sewer completes pieces and gets paid per item. Each of these workers receives income, but the way their earnings are calculated differs significantly.

Understanding how different types of income are computed is not merely an academic exercise. It is a practical life skill. When a person understands how wages, salaries, commissions, and deductions work, they can make informed decisions about job offers, negotiate fair pay, plan budgets, and evaluate the true value of their earnings. In the Philippines, where many families rely on detailed budgeting to make ends meet, this knowledge is especially valuable.

This reading material examines the key concepts of salary, wage, commission, and piecework earnings. It also explores the difference between gross income and net income, the mandatory government deductions (SSS, PhilHealth, Pag-IBIG, and withholding tax), and the practical application of these concepts using spreadsheets and manual calculations.

Part 1: Key Concepts — Salary, Wage, Commission, and Piecework

Salary

Definition: A fixed regular payment, typically paid monthly, semi-monthly, or weekly, especially for professional, managerial, or administrative positions.

Type of Salary	Definition	Formula
Annual Salary	Total amount earned in one year	Given
Monthly Salary	Fixed amount earned every month	$\text{Annual Salary} \div 12$
Semi-monthly Salary	Amount earned twice a month (every 15 days)	$\text{Monthly Salary} \div 2$
Weekly Salary	Amount earned per week	$\text{Annual Salary} \div 52$

Example: A teacher has an annual salary of ₱384,000. Her monthly salary is $\text{₱384,000} \div 12 = \text{₱32,000}$. Her weekly salary is $\text{₱384,000} \div 52 = \text{₱7,384.62}$.

Wage

Definition: Remuneration or earnings based on time worked — hourly, daily, or weekly — or on tasks completed.

Type of Wage	Definition	Formula
Hourly Wage	Amount earned for each hour worked	$\text{Hourly rate} \times \text{hours worked}$
Daily Wage	Amount earned per day of actual work	$\text{Daily rate} \times \text{days worked}$
Overtime Pay	Extra pay for working beyond 8 hours per day	$\text{Regular hourly rate} \times 1.25$ (or as specified)

Example: A factory worker earns ₱105 per hour and works 40 regular hours. His regular weekly wage is $\text{₱105} \times 40 = \text{₱4,200}$. If he works 5 overtime hours at 1.25 times his regular rate, his overtime pay is $\text{₱105} \times 1.25 \times 5 = \text{₱656.25}$. His total weekly wage is $\text{₱4,200} + \text{₱656.25} = \text{₱4,856.25}$.

Piecework

Definition: Earnings based on the number of items or products completed, regardless of time spent.

Formula: Piecework earnings = Number of units × rate per unit

Example: A sewer is paid ₱25 per face mask. She completes 200 masks in a week. Her weekly earnings are $₱25 \times 200 = ₱5,000$.

Commission

Definition: Income earned as a percentage of sales made. It can be pure commission (no base salary) or base salary plus commission.

Type of Commission	Definition	Formula
Pure Commission	Entire income comes from a percentage of sales	Sales × commission rate
Base Salary + Commission	Fixed salary plus additional percentage of sales	Base salary + (Sales × commission rate)

Example: A sales agent earns a ₱7,000 monthly base salary plus 5% commission on total sales. In one month, she sold ₱100,000 worth of products. Her commission is $₱100,000 \times 5\% = ₱5,000$. Her total income for the month is $₱7,000 + ₱5,000 = ₱12,000$.

Part 2: Gross Income vs. Net Income

Gross Income

Definition: The total earnings before any deductions are made. This includes base salary, overtime pay, commissions, allowances, and bonuses.

Formula: Gross Income = Base Pay + Overtime + Commission + Allowances + Bonuses

Net Income (Take-Home Pay)

Definition: The amount left after all deductions are subtracted from gross income. This is the actual amount received on payday.

Formula: $\text{Net Income} = \text{Gross Income} - \text{Total Deductions}$

Key Insight

The amount stated in an employment contract is often the gross salary — not the amount the employee actually receives. Understanding the difference between gross and net income helps workers plan their budgets realistically and avoid financial surprises.

Part 3: Mandatory Government Deductions in the Philippines

In the Philippines, employers are required by law to deduct certain contributions from employees' salaries. These deductions fund social security, healthcare, and housing programs.

Social Security System (SSS)

Feature	Detail
Applicable to	Private sector employees
Purpose	Retirement, disability, maternity, sickness, and death benefits
Employee Share	Approximately 5% of monthly salary (subject to contribution table)
Maximum Monthly Contribution	Varies based on salary bracket

Government Service Insurance System (GSIS)

Feature	Detail
Applicable to	Government employees only
Purpose	Life insurance, retirement, disability, and survivorship benefits
Employee Share	9% of monthly salary

PhilHealth

Feature	Detail
Applicable to	All employees
Purpose	Healthcare benefits and hospitalization coverage
Employee Share	2.5% of monthly salary (the total 5% is shared equally by employee and employer)

Pag-IBIG Fund (HDMF)

Feature	Detail
Applicable to	All employees
Purpose	Housing loans, savings, and calamity loans
Employee Share	2% of monthly salary (capped at ₱200 for some salary levels)

Withholding Tax (BIR)

Feature	Detail
Applicable to	All employees earning above the tax threshold
Purpose	Income tax collected in advance by the employer
Rate	Based on monthly salary bracket under the TRAIN law

Other Deductions (Optional)

These deductions depend on agreements between the employee and employer:

- Salary loans
- Cash advances
- Insurance premiums
- Union dues
- Deductions for absences or tardiness

Part 4: Computing Net Income — Step-by-Step Examples

Example 1: Daily Wage Earner

Scenario: Anna works in a factory earning ₱550 per day. She worked 22 days this month.

Step	Computation	Amount
Gross Income	₱550 × 22 days	₱12,100.00
SSS (5%)	₱12,100 × 5%	₱605.00

Step	Computation	Amount
PhilHealth (2.5%)	$\text{₱}12,100 \times 2.5\%$	₱302.50
Pag-IBIG (2%, capped)	$\text{₱}12,100 \times 2\%$ (capped at ₱200)	₱200.00
Withholding Tax	Exempted (below taxable threshold)	₱0.00
Total Deductions	Sum of deductions	₱1,107.50
Net Income	Gross Income – Deductions	₱10,992.50

Example 2: Hourly Wage with Overtime

Scenario: James earns ₱75 per hour. He worked 160 regular hours and 10 overtime hours (paid at 125% of regular rate).

Step	Computation	Amount
Regular Pay	160 hours $\times$ ₱75	₱12,000.00
Overtime Pay	10 hours $\times$ (₱75 $\times$ 1.25)	₱937.50
Gross Income	Regular Pay + Overtime Pay	₱12,937.50
SSS (5%)	$\text{₱}12,000 \times 5\%$	₱600.00
PhilHealth (2.5%)	$\text{₱}12,000 \times 2.5\%$	₱300.00
Pag-IBIG (2%)	$\text{₱}12,000 \times 2\%$ (capped)	₱200.00
Withholding Tax	Exempted	₱0.00
Total Deductions	Sum of deductions	₱1,100.00

Step	Computation	Amount
Net Income	Gross Income – Deductions	₱11,837.50

Example 3: Base Salary with Commission

Scenario: Ariel earns a base salary of ₱10,000 plus 10% commission on ₱80,000 in sales.

Step	Computation	Amount
Base Salary	Given	₱10,000.00
Commission	$₱80,000 \times 10\%$	₱8,000.00
Gross Income	Base Salary + Commission	₱18,000.00
SSS (5%)	$₱18,000 \times 5\%$	₱900.00
PhilHealth (2.5%)	$₱18,000 \times 2.5\%$	₱450.00
Pag-IBIG (2%)	$₱18,000 \times 2\%$ (capped)	₱200.00
Withholding Tax	Exempted	₱0.00
Total Deductions	Sum of deductions	₱1,550.00
Net Income	Gross Income – Deductions	₱16,450.00

Example 4: Government Employee with GSIS and Loan

Scenario: Carla is a government employee with a monthly salary of ₱38,150, a ₱2,000 non-taxable allowance, and a ₱4,000 monthly GSIS loan.

Step	Computation	Amount
Regular Salary	Given	₱38,150.00
Allowance	Given (non-taxable)	₱2,000.00
Gross Income	Salary + Allowance	₱40,150.00
GSIS (9%)	$₱38,150 \times 9\%$	₱3,433.50
PhilHealth (2.5%)	$₱38,150 \times 2.5\%$	₱953.75
Pag-IBIG (2%)	$₱38,150 \times 2\%$ (capped)	₱200.00
GSIS Loan	Given	₱4,000.00
Withholding Tax	$₱38,150 \times 4\%$ (estimated)	₱1,526.00
Total Deductions	Sum of deductions	₱10,113.25
Net Income	Gross Income – Deductions	₱30,036.75

Part 5: Understanding a Payslip

A payslip (or pay stub) is a document that shows an employee's earnings and deductions for a specific pay period.

Key Components of a Payslip

Component	Description
Employee Information	Name, employee number, position
Pay Period	The dates covered by the payslip
Gross Income	Total earnings before deductions (base pay, overtime, allowances, commissions)
Deductions	Amounts subtracted from gross pay (SSS, PhilHealth, Pag-IBIG, tax, loans)
Net Income	Take-home pay — the amount actually received

Sample Payslip

Description	Amount (₱)
Gross Income	20,000.00
Less Deductions	
Withholding Tax	1,500.00
SSS Contribution	800.00
PhilHealth	300.00
Pag-IBIG	200.00
Net Income	17,200.00

Part 6: Using Spreadsheets for Payroll Computation

Spreadsheets (Microsoft Excel or Google Sheets) are powerful tools for computing salaries, wages, and commissions. They allow users to create formulas that automatically calculate values, reducing errors and saving time.

Basic Spreadsheet Formulas

Operation	Formula in Excel/Sheets
Multiplication	<code>=A1*B1</code>
Division	<code>=A1/B1</code>
Percentage	<code>=A1*0.05</code> (for 5%)
Sum of a range	<code>=SUM(A1:A10)</code>
Subtraction	<code>=A1-B1</code>

Example: Computing Net Pay Using a Spreadsheet

A	B	C
1	Item	Amount (₱)
2	Daily Rate	550
3	Days Worked	22
4	Gross Income	<code>=B2*B3</code>
5	SSS (5%)	<code>=B4*0.05</code>

A	B	C
6	PhilHealth (2.5%)	=B4*0.025
7	Pag-IBIG (2%, capped)	=MIN(B4*0.02, 200)
8	Withholding Tax	0
9	Total Deductions	=SUM(B5:B8)
10	Net Income	=B4-B9

Part 7: Comparing Job Offers — Which Is Better?

When evaluating job offers, it is important to compare not just the stated salary but the total compensation package, including allowances, bonuses, and benefits.

Example: Job Offer Comparison

Job A: ₱25,000 monthly salary + ₱3,000 allowance

Job B: ₱28,000 monthly salary, no allowance

Item	Job A	Job B
Gross Income	₱28,000	₱28,000
SSS (5%)	₱1,250	₱1,400
PhilHealth (2.5%)	₱625	₱700
Pag-IBIG (2%)	₱200	₱200
Withholding Tax	₱450 (approx.)	₱980 (approx.)
Total Deductions	₱2,525	₱3,280
Net Income	₱25,475	₱24,720

Conclusion: Job A provides higher net income because the allowance is not subject to the same deductions as the base salary. However, other factors should also be considered: job security, career growth, work environment, commute time, and benefits (leave credits, health insurance, retirement plans).

Key Terms

Term	Definition
Salary	A fixed regular payment, typically paid monthly, semi-monthly, or weekly
Wage	Earnings based on time worked (hourly, daily, weekly) or tasks completed
Commission	Income earned as a percentage of sales made
Piecework	Earnings based on the number of items completed
Gross Income	Total earnings before any deductions are made
Net Income	Take-home pay — the amount left after deductions are subtracted
SSS (Social Security System)	Mandatory contribution for private sector employees for retirement, disability, and death benefits
GSIS (Government Service Insurance System)	Mandatory contribution for government employees
PhilHealth	Mandatory healthcare contribution for all employees
Pag-IBIG (HDMF)	Mandatory savings and housing loan fund for all employees
Withholding Tax	Income tax collected in advance by the employer
Overtime Pay	Extra pay for working beyond 8 hours per day (typically 125% of regular rate)

Review Questions

Responses should be written on a separate sheet of paper.

1. Distinguish between **gross income** and **net income**. Why is it important to understand the difference?
2. A factory worker earns ₱95 per hour. She works 40 regular hours and 8 overtime hours (paid at 1.25 times the regular rate). Calculate her total weekly wage.
3. A sales agent has a base salary of ₱8,000 per month and earns a 6% commission on total sales. In one month, she sold ₱120,000 worth of products. Compute her total monthly income.
4. What are the four mandatory government deductions in the Philippines? Briefly explain the purpose of each.
5. Two job offers are presented:
 - **Job X:** ₱22,000 monthly salary + ₱2,500 allowance
 - **Job Y:** ₱25,000 monthly salary, no allowance

Calculate the net income for both jobs (assuming SSS 5%, PhilHealth 2.5%, Pag-IBIG 2% capped at ₱200, and withholding tax at 0% for simplicity). Which job provides higher net income? Explain your answer.